



CHAPTER THREE

Corporate Social Responsibility of Business

Social Responsibility of Business

- ✦ In general terms, CSR encompasses the responsibilities that businesses have to the societies within which these businesses operate.
- Is a management concept whereby companies integrate social and environmental concerns into their business operations and interactions with stakeholders.
- The European Commission defines CSR as “a concept whereby companies decide voluntarily to contribute to a better society and a cleaner environment.”
- CSR suggests that a business identify its stakeholder groups and incorporate their needs and values within its strategic and operational decision-making process.

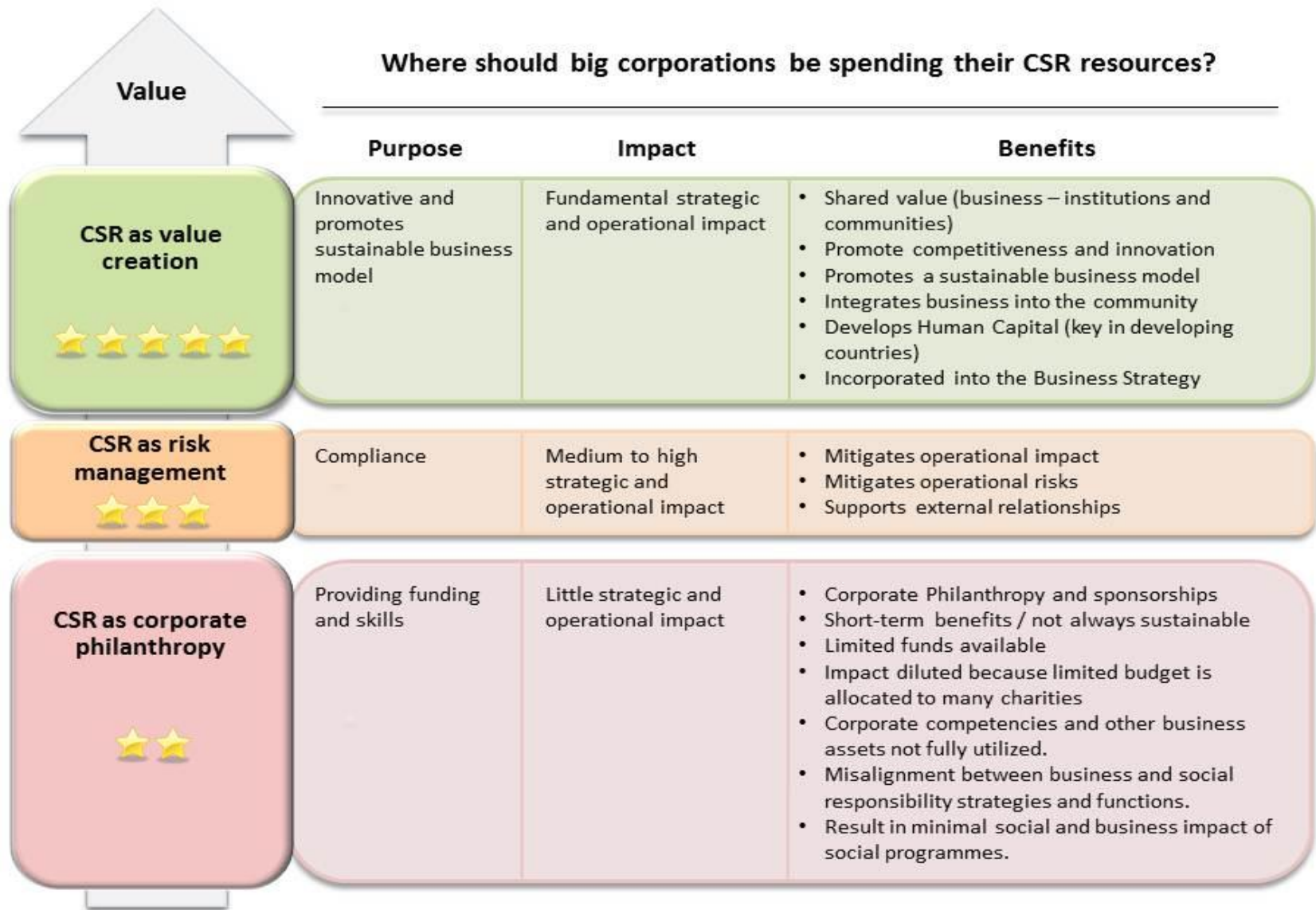
Social Responsibility of Business cont'd

- ❖ Proposes that a private corporation has responsibilities to society that extend beyond making a profit.
- In the past, many business decisions were made solely on a cost-benefit analysis.
 - “Bottom line” impact.
- ✓ Such decisions may cause negative externalities for others.

Why do business engage in social responsibility?

- Advocates for CSR have several bases for their contentions that a business should go above and beyond the maximization of profits or at least that CSR activities contribute to that objective.
- The reasons for CSR are based in both ethics (“**citizenship**”) and **economics**.

CSR Framework



The *corporate citizenship* model of CSR

- Some companies engage in CSR efforts solely for the public good and do not expect a commercial return on their contributions.
- These organizations believe that they play a particular role – creates a **responsibility** to do good.
- This model often exists where there is a strong leader with a sense of responsibility and connection to the community.

The Social Contract Model of CSR

- Some CSR proponents argue that corporations reap the benefits of serving as a community citizen and therefore owe a reciprocal obligation to that community.
- This model holds that the moral rights possessed by various stakeholders create responsibilities on the part of the corporation to respect those rights.

The Enlightened Self-Interest Model of CSR

- States that the incorporation of CSR can lead to differentiation and competitive market advantage for the business, something that can be branded for the present and future.
- Some companies have implemented a strong CSR policy and have been successful in the establishment of a positive brand.

The *Enlightened Self-Interest* Model of CSR

- Company long term strategic interest
 - Reduced risk
 - Market reputation/brand image
 - Relations with stakeholders (attracting & retaining employees, morale, expedited permits, happy regulators)
 - Putting something back
 - The right thing to do/corporate values
 - Offers social capital or license to operate or grow (give and take)

Arguments against CSR

Friedman's View of Business Responsibility

- ★ Argues against the concept of **social responsibility**
- ★ Primary goal of business is profit maximization not spending shareholder money for the general social interest
- ★ Business is not equipped to handle social activities.
- ★ It dilutes the primary purpose of business.
- ★ It limits the ability to compete in a global marketplace.

Friedman's View of CSR

- The idea that the resources of a company should be distributed by people other than ownership - is **a socialist concept** and **fundamentally subversive**.”
- There is one and only one social responsibility of business—to use its resources and engage in activities designed to increase its profits
- A corporate executive has a “responsibility is to conduct business in accordance with [his or her employer’s] desires, which is generally to make as much money as possible while conforming to the basic rules of society, both those embodied in law and those embodied in ethical custom.”

Application case:

March 9, 2005, *Boston Herald*

- “Companies shouldn’t feel obligated to ‘give back’ to communities because they haven’t taken anything away,” said Nestlé S.A. CEO Peter Braeck-Letmathe
- “Companies should only pursue charitable endeavors with the underlying intention of making money.”
- “It is not our money we’re handing out but our investors’.”
- “A company’s obligation is simply to create jobs and make products. What the hell have we taken away from society by being a successful company that employs people?”

Do you agree?

Carroll's four responsibilities of business

Components of CSR

1. Economic Responsibilities:

- Firm has a responsibility to use the resources available to produce goods and services for society.
- **Examples:**
 - Generating a high and consistent level of profitability,
 - Establishing and maintaining a strong competitive position,
 - Operating the firm at a high efficiency level.

Four Responsibilities of Business (cont.....)

Components of CSR

2. Legal Responsibilities:

- The laws and regulations that all firms are expected to follow as they perform their daily functions.
- **Examples:**
 - Operating consistent with government and legal expectations;
 - Showing complete compliance with all regulations.

Four Responsibilities of Business (cont.....)

Components of CSR

3. Ethical Responsibilities:

- Change over time because they are based on expectations of society.
- **Examples:**
 - Meeting expectations of both social and ethical standards;
 - Ability to adapt to new or developing ethical and moral standards;
 - Being a good corporate citizen.

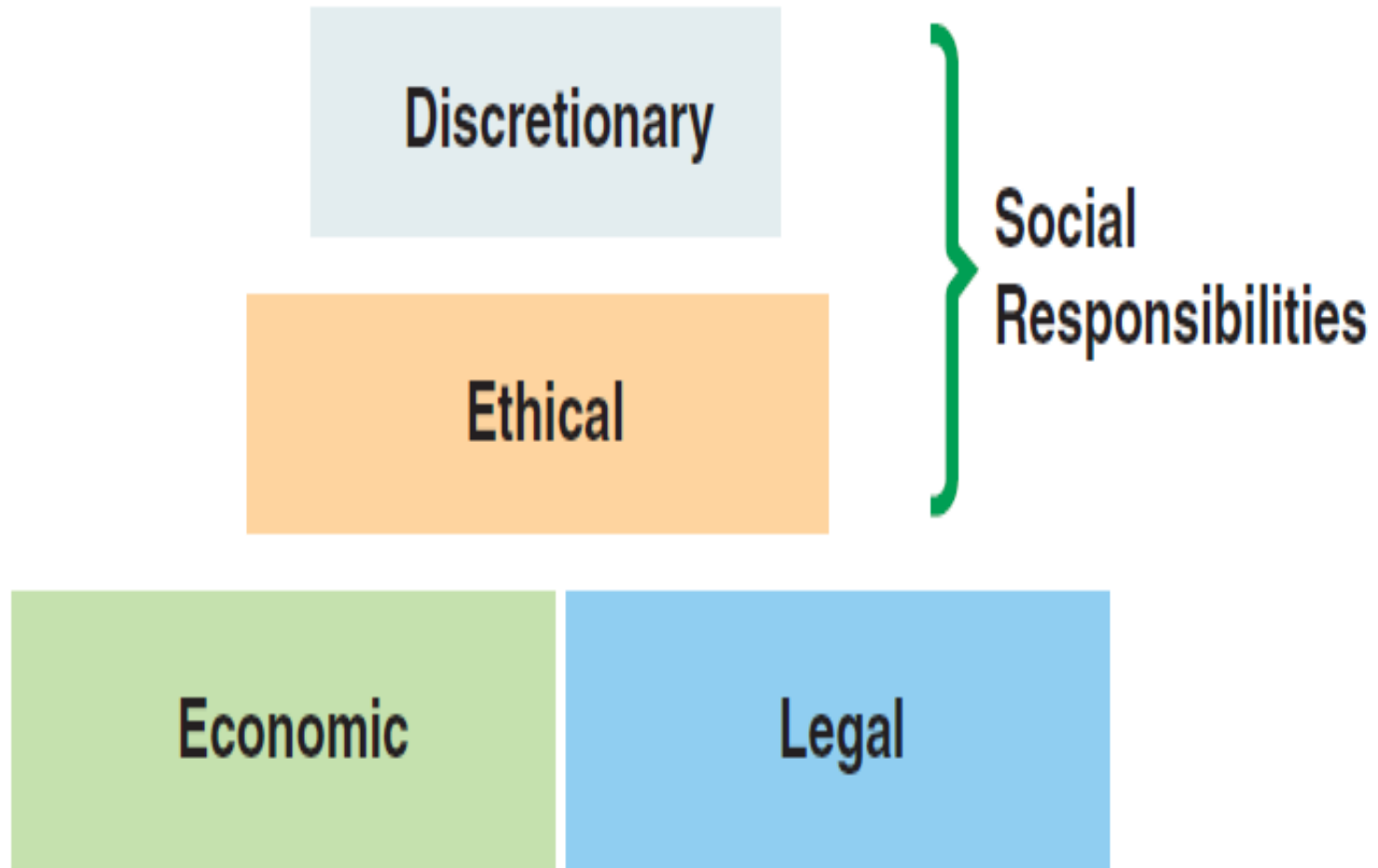
Four responsibilities of business (cont.....)

Components of CSR

4. Discretionary Responsibilities:

- Those responsibilities in which society does not have a clear message to present to businesses as to what their courses of action should be.
- Left in the hands of managers to make the right judgment.
- **Examples:**
 - Giving to charitable organizations;
 - Providing drug treatment programs.

Social Responsibility



Carrol's CSR pyramid



Social responsibility (cont.....)

Corporate Social Responsibility (CSR)

Carroll's Four Part Definition

Understanding the Four Components

Responsibility	Societal Expectation	Examples
Economic	Required	Be profitable. Maximize sales, minimize costs, etc.
Legal	Required	Obey laws and regulations.
Ethical	Expected	Do what is right, fair and just.
Discretionary (Philanthropic)	Desired/ Expected	Be a good corporate citizen.

Level of Social Responsibility

Levels of Responsibility



Level Of Social Responsibility

- **Obstruction response:** Managers choose not to be socially responsible.
 - managers behave illegally and unethically.
 - they hide and cover up problems
- **Defensive response:** managers stay within the law but they do not attempt make additional social responsibility

Level of Social Responsibility

- **Accommodative response:** managers realize the need for social responsibility.
 - They try to balance the interests of all stakeholders
- **Positive response:** Managers actively support social responsibility.
 - Go out of their way to learn and help stakeholders

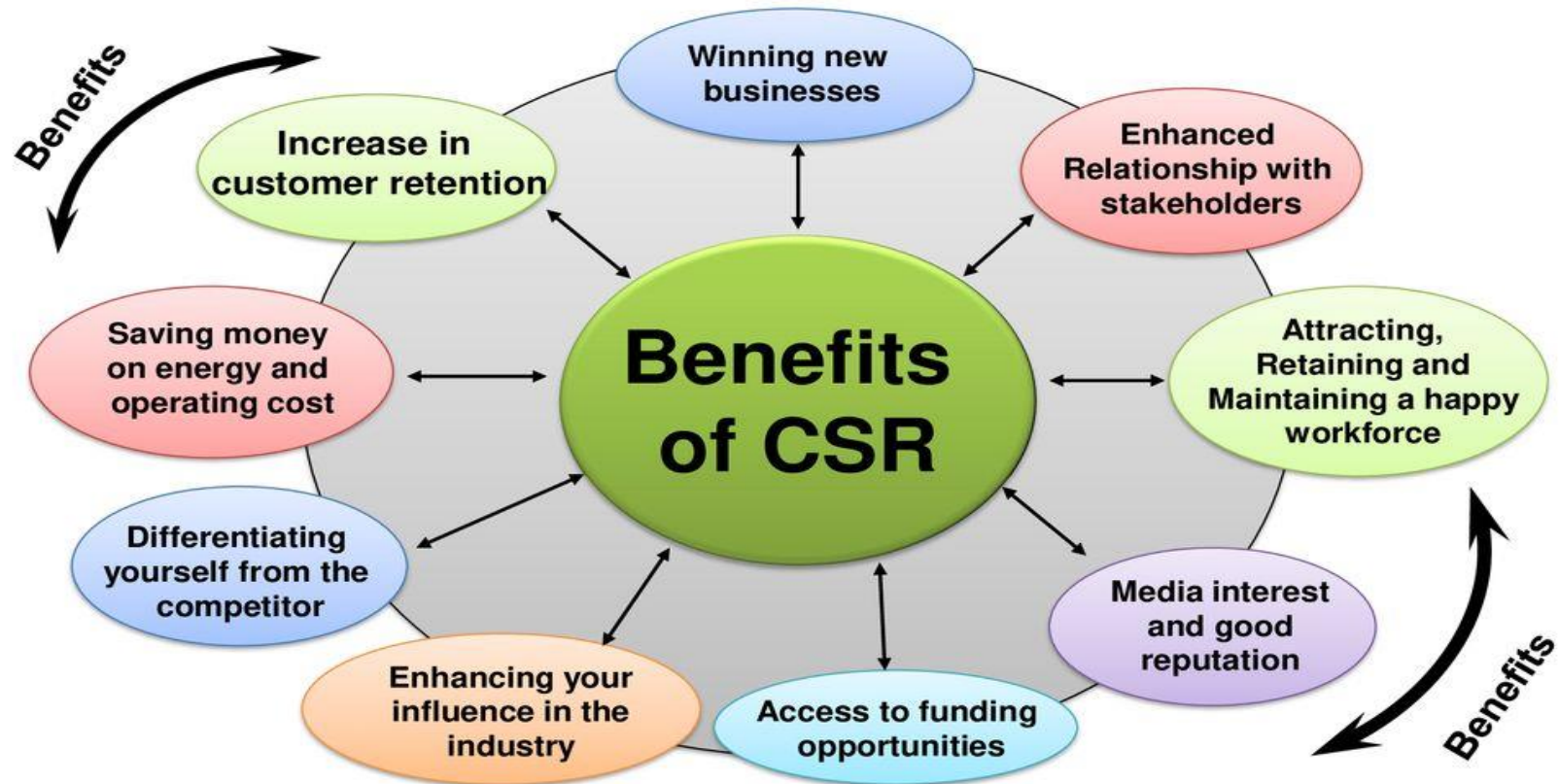
Benefits of Social Responsibility

- ✦ May enable firm to charge premium prices and gain brand loyalty
- ✦ May help generate enduring relationships with suppliers and distributors
- ✦ Can attract outstanding employees
- ✦ Can utilize the goodwill of public officials for support in difficult times
- ✦ Saving money on energy & operating costs

Benefits of Social Responsibility

Benefits of CSR

Corporate Social Responsibility



Benefits of CSR

Benefits to the Community and the General Public

- Charitable contributions
- Employee volunteer programs
- Corporate involvement in community education, employment and homelessness programs
- Product safety and quality

Common CSR initiatives

Common Corporate Social Responsibility initiative



- Actions to protect the environment.
- Actions to create a work environment that enhances employees' quality of life.
- Actions to build a diverse workforce.

Reasons For Unethical/Irresponsible Behavior

- ✦ Unaware that behavior is questionable
- ✦ Lack of standards of conduct
- ✦ Different cultural norms and values
- ✦ Behavior-based or relationship-based governance systems
- ✦ Different values between business people and stakeholders
- ✦ Moral relativism claims that morality is relative to some personal, social or cultural standard

Corporate Social Audit

The Corporate Social Audit

- **Definition of Social Auditing (SA):**
- **Social Auditing (SA):** is a formal review used to measure the impact that a corporation has on its clients, staff and society as a whole.
- ***The purpose of a social responsibility audit*** is to ensure that the company is doing all it can to support non-tangible gains such as employee satisfaction, community support and customer loyalty.

Corporate Social Audit

What is Social Auditing ?

- ❑ Social Auditing can enhance an organization's capacity to:
 - Evaluate their impact on stakeholders.
 - Determine how well they are living up to the values they promote.
 - Tell people what you are achieving.
 - Improve overall performance.
 - Enhance decision-making.

Corporate social audit

The Corporate Social Audit

- **A social audit looks at factors such as :**
 1. Company's record of charitable giving.
 2. Volunteer activity.
 3. Energy use.
 4. Work environment.
 5. Worker safety.
 6. Consumer protection.

Corporate Sustainability

Corporate Sustainability

- **Corporate sustainability** : involves meeting the needs of today's stakeholders in a manner that protects the environment and resources needed for future generations, directed at improving a company's **Triple Bottom line (TBL)**.
- **The TBL** : is an accounting framework that includes three dimensions of performance: **Social, environmental and economic**.

Corporate Sustainability

Corporate Sustainability

Managing our
business for the
long term

Sustainability principles
embedded into our operational
activities

Integration of environmental,
social & governance factors into
investment selection practices

Managing
relationships with our
stakeholders

Living the culture of responsible
leadership, supportive working
environment, diversity &
inclusion

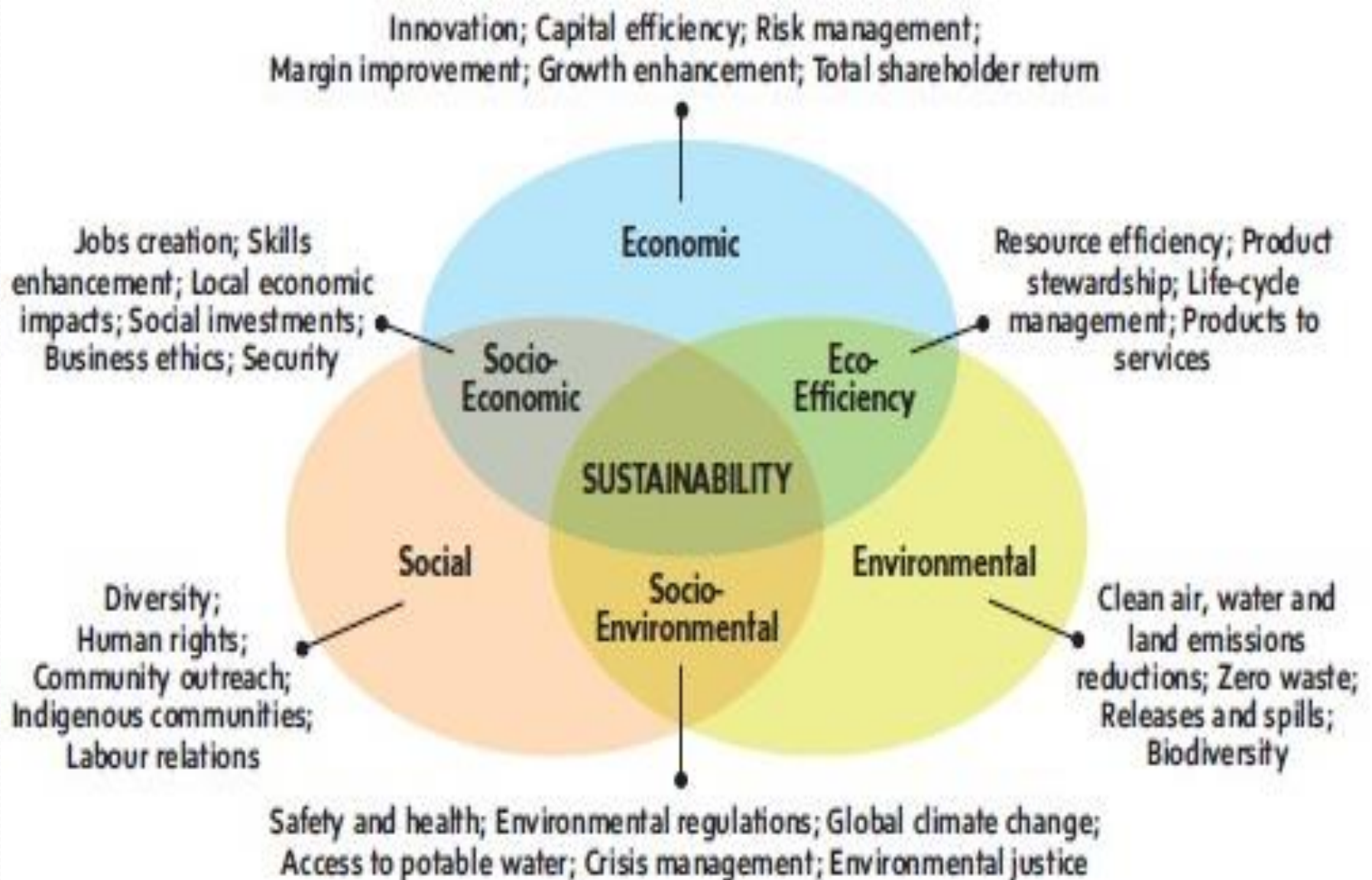
Playing an active role in society
beyond our business

Managing
environmental impact
of our business

Continuously working on
measures targeted to
proactively reduce the
ecological footprint of
Julius Baer



Corporate Sustainability (what is all about?)



Corporate Sustainability

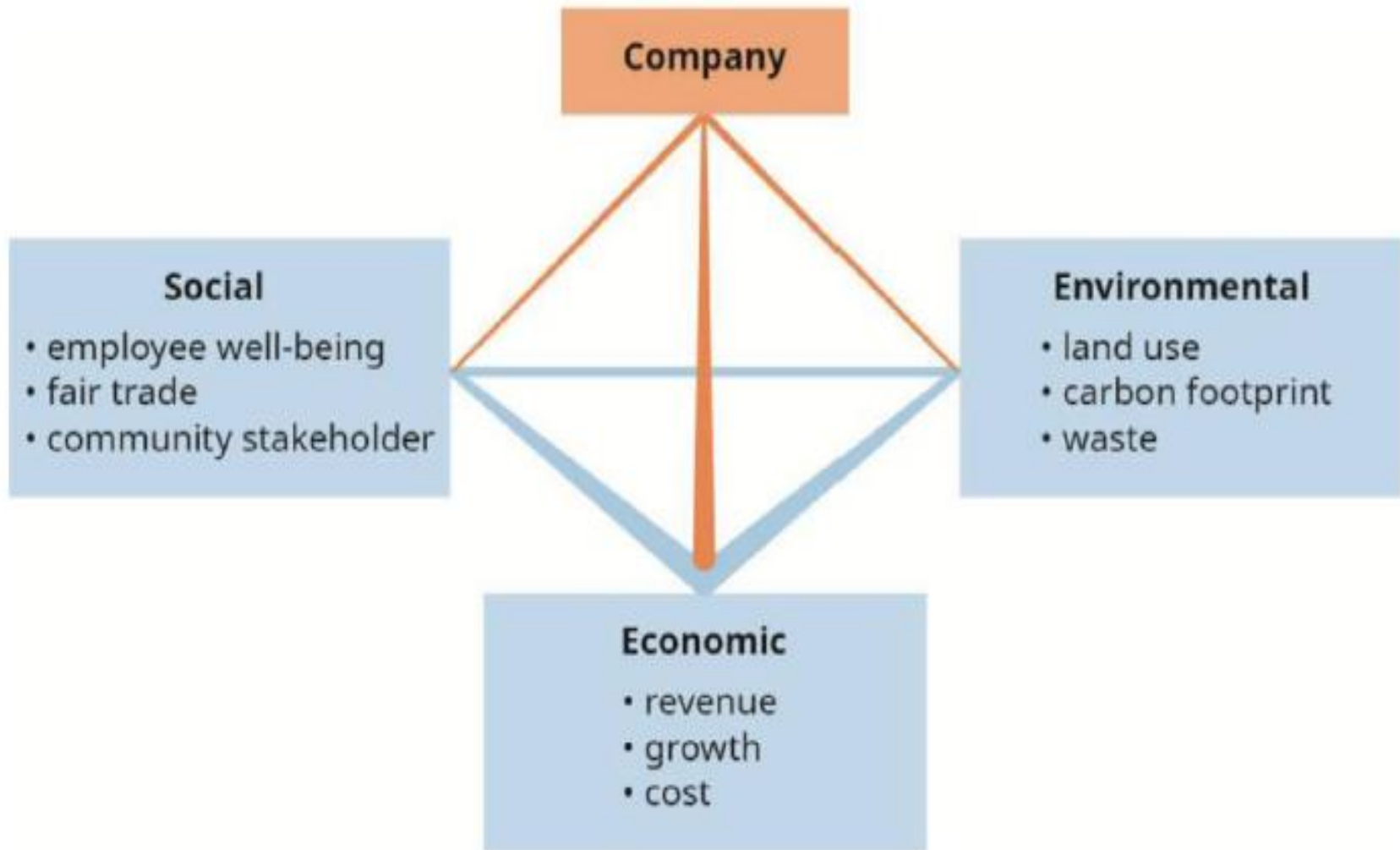
Corporate Sustainability

The Triple Bottom Line (TBL) is made up of:

"Social, Economic and Environmental"

"People, Profit, Planet "

Corporate Sustainability



Corporate Sustainability Cont..

- ❑ **Economic sustainability** values long-term financial solidity over more volatile, short-term profits, no matter how high.
- ✓ According to the triple-bottom-line model, corporations have a responsibility to create business plans allowing stable and prolonged action.
- ✓ Sustainability as a virtue means valuing business plans that may not lead to quick riches but that also avoid disastrous losses.

Corporate Sustainability Cont..

- ❑ **Social sustainability** values balance in people's lives and the way we live.
- It may indicate, however, that for a business to be stable over the long term, opportunities and subsequently wealth need to be spread out to cover as many people as possible.
- Social sustainability doesn't end with dollars; it also requires human respect. All work, the logic of stability dictates, contains dignity, and no workers deserve to be treated like machines or as expendable tools on a production line.
- Finally, social sustainability requires that corporations as citizens in a specific community of people maintain a healthy relationship with those people. Corporations should not affect the health of community negatively.

Corporate Sustainability Cont..

- ❑ **Environmental sustainability** begins from the affirmation that natural resources—especially the oil fueling engines, the clean air we breathe, and the water we drink—are limited.
- If those things deteriorate significantly, our children won't be able to enjoy the same quality of life most of us experience.
- Conservation of resources, therefore, becomes tremendously important, as does the development of new sources of energy that may substitute those we're currently using.
- Sustainability, finally, on this environmental front means actions must be taken to facilitate our natural world's renewal

Benefits of Corporate Sustainability

Financial

- Reduced operating costs
- Increased revenues
- Stock market premiums

Customer

- Increased customer satisfaction
- Product innovation
- Market share increases
- Improved reputation
- New market opportunities

Operational

- Process innovation
- Productivity gains
- Improved resource yields
- Waste minimization

Organizational

- Employee satisfaction
- Improved stakeholder relationships
- Reduced risk
- Increased learning

From "Making Sustainability Work" by Marc J. Epstein



The End of
Chapter!!

